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SUPERIOR COURT OF THE STATE OF CALIFORNIA
IN AND FOR THE COUNTY OF SANTA CLARA

HERITAGE PACIFIC FINANCIAL LLC,
D/B/A HERITAGE PACIFIC FINANCIAL, a
Texas Limited Liability Company,

Cross-Complainants,

v.

ROSITA GONZALEZ, et al,

Cross-Defendants.

FRANCISCO MORALES GONZALEZ (SUED
AS FRANCISCO GONZALEZ MORALES)
and MIRNA MENDEZ, individually and on
behalf of themselves and all others similarly
situated,

Cross-Complainants,

v.

HERITAGE PACIFIC FINANCIAL LLC,
D/B/A HERITAGE PACIFIC FINANCIAL, a
Texas Limited Liability Company; BRAD A.
MOKRI, an individual, and ROES 1 through 50,
inclusive,

2003 SEP 13 P 2:21

Filed: [Signature]
By: [Signature]

UCS
Mendez

Case No. 110-cv-173203

**CLASS ACTION CROSS-
COMPLAINT FOR:**

- (1) Violations of the Fair Debt Collection Practices Act [15 U.S.C. Section 1692, *et seq.*]
- (2) Rosenthal Fair Debt Collection Practices Act [Civil Code Section 1788, *et seq.*];
- (3) Violations of California's Unfair Competition Law [Cal. Bus. & Prof. Code §17200, *et seq.*]

DEMAND FOR JURY TRIAL

1 Cross-Defendants.
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8 Cross-Complainants Francisco Gonzalez (sued as Francisco Gonzalez Morales) and Mirna
9 Mendez (hereinafter "Cross-Complainants", "Gonzalez" or "Mendez"), individually and on
10 behalf of the Class described below, bring this action against Cross-Defendant, Heritage Pacific
11 Financial LLC d/b/a/ Heritage Pacific Financial, Brad A. Mokri and Roes 1 through 50, for
12 damages, restitution and injunctive relief. Cross-Complainants make the following allegations
13 upon information and belief based, *inter alia*, upon investigations conducted by Cross-
14 Complainants and their counsel, except as to those allegations pertaining to Cross-Complainants
15 personally, which are alleged upon actual knowledge:

16 I.

17 **INTRODUCTION**
18

19 1. This class action is brought by Cross-Complainants, for themselves and on behalf
20 of California residents who lost their homes through non-judicial foreclosures, (the "Class" or the
21 "foreclosed homeowners") to halt an insidious and illegal debt collection scheme being
22 perpetrated by a Texas debt buyer and collector (Cross-Defendant Heritage Pacific Financial LLC
23 d/b/a Heritage Pacific Financial, (hereafter "Heritage"), who, after purchasing foreclosed out
24 promissory notes for pennies on the dollar, then sues the foreclosed out homeowner: (a) for the
25 full face amount of the promissory note; and, (b) for punitive damages based upon a claim that
26 the foreclosed homeowner committed fraud in the loan application process. Heritage's collection
27 acts and actions violate the provisions of California's anti-deficiency statutes and consumer
28 protection laws including: California Code of Civil Procedure Sections 580 and 726; and

California Financial Code Section 7460.

2. Heritage's conduct is more insidious than merely violating various provisions of California's anti-deficiency statutes and unfair debt collection practice statutes. After purchasing the foreclosed promissory note, Heritage then "duns" the foreclosed homeowner with threatening form collection letters, knowing that (a) the foreclosed homeowner has no ability to pay the debt, and (b) the foreclosed promissory note is unenforceable under California law. In its form letter, Heritage claims it is entitled to the full face amount of the promissory note (or the balance that was due to the original lender). Thereafter Heritage files suit (in either federal or state court), most often using Brad A. Mokri as its counsel, based upon a statistical calculation that the vast majority of the foreclosed homeowners will fail to respond to the complaint so that Heritage can obtain a default judgment on the full amount of the foreclosed promissory note and for punitive damages, claims that are simply prohibited by California law. In some cases, Heritage has filed lawsuit naming over forty foreclosed homeowners as Cross-Defendants in one action. Cross-Complainants are also informed and believe that Heritage has intentionally filed false proofs of service in various courts, claiming personal service that was effected, when in actuality proper service had not been made upon the foreclosed homeowners. Cross-Defendants. In the rare instances where the foreclosed homeowner is able to obtain counsel, Heritage dismisses its claims before any rulings on the underlying suit can be made. Heritage, and Roes 1 through 50, are fully aware that their collection efforts and lawsuits are without any legal basis and violated any number of California debt collection practices statutes and anti-deficiency statutes. Unless stopped, Heritage, and those working with Heritage will continue their efforts to collect debts illegally and in violation of the rights of those who have already suffered the emotional and financial distress that results from the loss of their home.

II.

JURISDICTION AND VENUE

3. Jurisdiction is proper here pursuant to Code of Civil Procedure section 410.10 and Business and Professions Code section 17203. Jurisdiction is proper in this County in that the

1 claims herein arise under California common law and California statutes. This Court has
2 jurisdiction over the Cross-Defendant because Cross-Defendant transacts business within this
3 County, some of the acts complained of herein took place in this county and some of the real
4 properties subjected to foreclosure are located in this County. The amount in controversy exceeds
5 the jurisdictional minimum of this Court.

6
7 **III.**
8 **PARTIES**

9 4. Cross-Complainant Francisco Morales Gonzalez is a resident of the County of
10 Santa Clara, State of California. Cross-Complainant Mirna Mendez is a resident of Alameda
11 County, California. Cross-Complainants bring this action on their own behalf and on behalf of a
12 class of similarly situated persons as defined below.

13 5. Cross-Defendant Heritage Pacific Financial LLC is a Texas Limited Liability
14 Company doing business as Heritage Pacific Financial ("Heritage"). Heritage is doing business
15 in the County of Santa Clara, and throughout the State of California.

16 6. Cross-Defendant Brad A. Mokri is an attorney licensed to practice in California.
17 He and his firm have filed numerous actions, as described herein, on behalf of Heritage.

18 7. The true names and capacities of the Cross-Defendants named numerically herein
19 as Roes 1 through 50 are unknown to Cross-Complainants who therefore sue said Cross-
20 Defendants by such fictitious names. Cross-Complainants are informed and believe, and upon
21 that basis allege, that the Cross-Defendants sued herein as Roes 1 through 50, inclusive, are
22 responsible in some manner for the practice, acts, conduct and occurrences alleged herein, either
23 as actual perpetrators or co-conspirators, aiders and abettors, or owners, primary officers and
24 managers with knowledge and control of the perpetrators' activities.

25 8. At all times herein mentioned, Cross-Defendants, and each of them, were agents or
26 joint venturers of each of the other Cross-Defendants and, in doing the acts alleged herein, were
27 acting within the course and scope of such agency. Each Cross-Defendant had actual and/or
28 constructive knowledge of the acts of each of the other Cross-Defendants and ratified, approved

1 and/or retained the benefits of said wrongful acts.

2 9. Cross-Defendants, and each of them, aided and abetted, encouraged and rendered
3 substantial assistance to the other Cross-Defendants in breaching their obligations to Cross-
4 Complainants and members of the general public, as alleged herein. In taking action to aid and
5 abet and substantially assist the commissions of these wrongful acts and other wrongdoings
6 complained of, as particularized herein, each of the Cross-Defendants acted with an awareness of
7 its primary wrongdoing and realized that its conduct would substantially assist the
8 accomplishment of the wrongful conduct, wrongful goals and wrongdoing.

9
10 **IV.**

11 **RELEVANT BACKGROUND OF THE LENDING INDUSTRY**
12 **AND CALIFORNIA'S ANTI-DEFICIENCY LAWS**

13 10. The United States, and particularly California, is now suffering through the after
14 effects of what has been dubbed the "mortgage meltdown." This mortgage meltdown is, in major
15 part, the result of entirely improvident lending practices, by which homeowners were induced to
16 obtain mortgage loans that they could not afford. The result has been an avalanche of
17 foreclosures throughout the country. California has been particularly hard hit, as the home values
18 in this state skyrocketed during the lending boom and then crashed. At the height of the lending
19 bloom, lenders were confronted with the inconvenient truth that many of the potential buyers did
20 not qualify for standard 80% loan to value mortgage loans. To address this issue, Lenders started
21 offering what became known as the "80/20 loan." For these purchase money loans, the lender
22 would make two loans at the same time, both being used to pay for the purchase of the property.
23 The "first" (so-called because it was secured by a deed of trust recorded in the first position)
24 would be for 80% of the purchase price. The "second" would cover the remaining 20% of the
25 purchase price (hereinafter sometimes referred to as the "Second Loan").

26 11. California's "anti-deficiency statutes", including California Code of Civil
27 Procedure 580(b) were enacted to protect homeowners who borrowed money to purchase their
28

1 residences, limiting the lenders right to collect on purchase money loans to the value of the
2 mortgaged real estate. Under California law, collection of any deficiency on the purchase money
3 promissory note that results from a foreclosure is barred. California Code of Civil Procedure
4 Section 580b, states:

5 “No deficiency judgment shall lie in any event after a sale of real property or an estate for
6 years therein for failure of the purchaser to complete his or her contract of sale, or under a
7 deed of trust or mortgage given to the vendor to secure payment of the balance of the
8 purchase price of that real property or estate for years therein, or under a deed of trust or
9 mortgage on a dwelling for not more than four families given to a lender to secure
10 repayment of a loan which was in fact used to pay all or part of the purchase price of that
11 dwelling occupied, entirely or in part, by the purchaser.”

12 12. California homeowners who obtain purchase money mortgages are further
13 protected by California Financial Code §7460 (hereinafter “C.F.C.”) which protects homeowners
14 from fraud claims such as those being prosecuted by Cross-Defendants. In relevant part, Section
15 7460 provides:

16 (a) Notwithstanding Section 726 of the Code of Civil Procedure or any other
17 provision of law to the contrary, an association, a federal association, an affiliate of an
18 association or federal association, a service corporation, or any successor in interest
19 thereto, that originates, acquires, or purchases, in whole or in part, any loan secured
20 directly or collaterally, in whole or in part, by a mortgage or deed of trust on real property,
21 or any interest therein, may bring an action for recovery of damages, including exemplary
22 damages not to exceed 50 percent of the actual damages, against a borrower where the
23 action is based on fraud under Section 1572 of the Civil Code and the fraudulent conduct
24 by the borrower induced the original lender to make that loan.

25 (b) The provisions of this section shall **not** apply to loans secured by single-
26 family, owner-occupied residential real property, when the property is actually occupied
27 by the borrower as represented to the lender in order to obtain the loan and the loan is for
28 an amount of one hundred fifty thousand dollars (\$150,000) or less, as adjusted annually,

commencing on January 1, 1987, to the Consumer Price Index as published by the United States Department of Labor.” [Emphasis added]

13. Thus, the “fraud” exception to the anti-deficiency statutes contained in C.F.C. §7460 does not apply to owner occupied dwellings where the loan was less than \$150,000, as adjusted. Calculating this adjustment, Cross-Complainants allege that the statute now covers loans in excess of \$286,000. Cross-Complainants are informed and believe, and on that basis allege, that all of the Second Loans as to which Cross-Defendants are seeking recovery are below the statutory minimums set in Financial Code Section 7460.

V.

FACTS COMMON TO ALL CLAIMS FOR RELIEF

14. Heritage is in the business of purchasing foreclosed promissory notes secured by junior liens (2nds) from institutional lenders on a bulk “pennies on the dollar” basis. After purchasing the foreclosed promissory note(s), Heritage, through agents and employees, attempts to collect on the full amount of the foreclosed promissory note, sending demand letters to the foreclosed homeowner demanding payment on a debt which the foreclosed homeowner believes he or she no longer had an obligation to pay. Given that Heritage purchases promissory notes that have been subject to a non-judicial foreclosure proceedings and does so “in bulk” Heritage is subject to California’s Debt Collection Practices laws, the “Rosenthal Act”, California Civil Code Section 1788, et.seq.

15. In the vast majority of cases, the foreclosed homeowner does not respond to Heritage's correspondence. Heritage then files suit against the foreclosed homeowner and perhaps others, seeking damages for the amount of the foreclosed promissory note; and asserting claims for fraud in the loan application process, seeking damages for fraud, and punitive damages. Heritage makes these claims despite knowing that the foreclosed homeowners' loans are below the threshold set for such a claim by Financial Code Section 7640 and therefore are not subject to such claims or actions.

16. Heritage files its complaint based upon a high statistical probability that the foreclosed homeowner lacks the resources to defend the lawsuit and protect his or her rights in

1 such litigation, and based thereon that Heritage will obtain a “default judgment” against the
2 foreclosed homeowner.

3 17. In addition to the wrongful claims and actions, Heritage, through its attorneys or
4 agents, routinely files false proofs of service claiming that the foreclosed homeowners (Cross-
5 Defendants) have been served with the summons and complaint, when in fact and in truth they
6 were not served properly. When the foreclosed homeowner fails to respond to the complaint,
7 Heritage then attempts to obtain a default judgment against the foreclosed homeowners, relying
8 on the court’s lack of resources to ascertain the truth about service.

9 18. Beginning in 2009, Heritage has brought numerous lawsuits in federal and state
10 court seeking to obtain payment on foreclosed promissory notes against foreclosed homeowners.
11 In some of the cases filed in federal court, the courts on its own motions have dismissed the
12 claims for improper joinder. However, other cases continue. In cases where the foreclosed
13 homeowner did obtain counsel, and proper motions to dismiss or for summary judgment were
14 presented, Heritage immediately settles and or dismisses the action. See e.g. *Heritage Pacific v.*
15 *Hague*, Case No. SACV09-01466 AG (RNBx) (Case settled and dismissed after the borrower
16 presented a motion for summary judgment and threatened Rule 11 sanctions.)

17 VI.

18 **SPECIFIC FACTUAL ALLEGATIONS OF CROSS-COMPLAINANTS**

19 **A. Cross-Complainant Francisco Gonzalez**

20 19. Cross-Complainant Francisco Gonzalez (“Gonzalez”) is a resident of Santa Clara
21 County, California. In January, 2007 he purchased certain real property located at 177 Marianna
22 Way, Campbell, California. This was his residence. To finance the purchase, Gonzalez took out a
23 purchase money loan that the lender, General Electric Money Bank, structured as two loans. The
24 first loan was in the principal amount of \$548,000 (the “first note”) and the second loan was in
25 the principal amount of \$137,000 (the “second note.”) Each of the notes was secured by a
26 separate deed of trust t recorded against Gonzalez’s property at the time of purchase.

27 20. Gonzalez fell behind in his payments and eventually lost the home. A non-
28 judicial foreclosure of the first deed of trust was conducted on behalf of the holder of the first

1 note. A Trustee's Deed Upon Sale was recorded on September 9, 2008. Title to the property
2 vested in the beneficiary of the first note for a credit bid that was less than the full amount due on
3 the first note. After the foreclosure sale Gonzalez vacated the property.

4 21. On or about May 27, 2010, Heritage filed this action in Santa Clara County
5 Superior Court, naming Gonzalez and others as Cross-Defendants, alleging each Cross-Defendant
6 committed fraud in making loan applications in connection with second mortgages used to buy
7 their residences.

8 22. On or about July 7, 2010, a person dressed as a nurse appeared at Gonzalez's
9 home. Gonzalez was not at home. Gonzalez's sister-in-law, who was visiting him at the time
10 answered the door. The "nurse" asked if Mr. Gonzalez lived there and if he was available. The
11 nurse was told that he did live there but was not home. The nurse handed a summons and
12 complaint to her and left. A proof of service was subsequently filed in this case, falsely stating
13 that Gonzalez had been personally served.

14 23. As a result of the lawsuit, Gonzalez has had to retain and pay counsel to defend
15 him. He has also lost time from work to meet with counsel and, as he is an hourly worker, has
16 lost wages as a result. Defendants' collection efforts also caused Gonzalez to suffer stress and
17 anxiety.

18 **B. Cross-Complainant Mirna Mendez**

19 24. Cross-Complainant Mirna Mendez ("Mendez") is a resident of Oakland,
20 California. In March 2006, she purchased certain real property in Stanislaus County, commonly
21 known as 635 Rosemary Drive, Patterson, CA 95363. This was her residence. In order to
22 purchase the property, she obtained a purchase money loan that the lender, Sierra Pacific
23 Mortgage Company, Inc. structured as two loans. The first loan was in the principal amount of
24 \$288,000 (the "first note.") The second loan was in the amount of \$72,000 (the "second note.")
25 Each of the notes was secured by a separate deed of trust recorded against Mendez's property at
26 the time of the purchase.

27 25. Mendez fell behind in her payments and eventually lost the home. A non-
28 judicial foreclosure of the first deed of trust was conducted on behalf of the holder of the first

1 note. A Trustee's Deed Upon Sale was recorded on February 21, 2008. Title to the property
2 vested in the beneficiary of the first note for a credit bid that was less than the full amount due on
3 the first note. After the foreclosure sale Mendez vacated the property.

4 26. On or about July 26, 2010, Mendez received a form letter from Heritage, claiming
5 that Heritage was the owner of her second note and stating that she owed Heritage the full amount
6 of the second note because of an alleged fraud on her loan application. Accompanying the letter
7 was a draft copy of a lawsuit that Heritage threatened to file if Mendez did not pay. Mendez has
8 not yet been served with any filed complaint. As a result, Mendez has had to retain counsel.

9 27. Cross-Complainants are informed and believe, and on that basis allege, that
10 Heritage purchased the Cross-Complainants' and the Class Members' second notes after the
11 foreclosures affecting their residences. In so purchasing the second notes, Heritage had actual
12 knowledge that collection on the second notes were prohibited by California's anti-deficiency
13 laws. Despite these facts and despite the actual knowledge that the claims for payment are
14 impermissible, Heritage continues demanding payment through the use of their collection letters
15 and continues with this and other litigation, as to Cross-Complainants and all Class Members.

16 **CLASS ALLEGATIONS**

17 28. The class is defined as "all individuals in California who purchased their homes
18 using the proceeds of a Second Loan which Second Loan was in an amount less than the statutory
19 minimum defined by California Financial Code Section 7460 and which Second Loan was sold to
20 Heritage."

21 29. Excluded from the class are Cross-Defendants, any entity in which Cross-
22 Defendants have a controlling interest, and Cross-Defendants' officers, directors, legal
23 representatives, successors, subsidiaries, and assigns. Also excluded from the Class is any
24 governmental entity, judge, justice, or judicial officer presiding over this matter and the members
25 of their immediate families and judicial staff. Cross-Complainants reserve the right to modify the
26 Class definition and Class period based on the results of discovery.

1 30. Cross-Complainants seeks to recover damages for themselves and the Class under
2 the Rosenthal Act, California's Unfair Business Practices Act, and California Business &
3 Professions Code §17200, *et seq.*.

4 31. Cross-Complainants also bring this action for equitable, injunctive, and declaratory
5 relief pursuant to California Code of Civil Procedure Section 382. The Class is so numerous that
6 joinder of all members is impracticable. While the exact number of Class members is unknown at
7 this time, Cross-Complainants are informed and believe that the Class members are in excess of
8 one thousand individuals.

9 32. Common questions of law and fact exist as to all Class members and predominate
10 over questions affecting only individual Class members. Cross-Defendants have acted with
11 respect to the Class, in a manner generally applicable to the Cross-Complainants and each Class
12 member. There is a well-defined community of interest in the questions of law and fact involved
13 in this action, which affects all class members. These common questions include:

14 (a) Whether California's anti-deficiency statutes prohibit collection of the purchase
15 money Second Loans in their entirety;

16 (b) Whether Cross-Defendants demand for payment violates the provisions of the
17 Rosenthal Act;

18 (c) Whether Cross-Defendants have filed false statements with courts, including
19 without limitation false proofs of service;

20 (d) Whether Cross-Defendants' conduct constituted an unfair business practice as
21 defined in Business & Professions Code Section 17200, *et seq.*

22 33. Cross-Complainants' claims are typical of the claims of other members of the
23 Class in that Cross-Complainants and other Class members were similarly harmed by the actions
24 of Cross-Defendants. Cross-Complainants are members of the Class they seek to represent and
25 have suffered harm due to the unfair, deceptive, unreasonable and unlawful practices of Cross-
26 Defendants. Cross-Complainants will fairly and adequately represent the interests of the Class;
27 their interests are coincident with, and not antagonistic to those of the Class they seek to
28 represent.

1 34. Cross-Complainants are represented by experienced and able attorneys who intend
2 to prosecute this action vigorously for the benefit of Cross-Complainants and all Class members.
3 Cross-Complainants and their counsel will fairly and adequately protect the interests of the Class
4 members.

5 35. Cross-Defendants have acted or refused to act, with respect to some or all issues
6 presented in this complaint, on grounds generally applicable to the Class, thereby making it
7 appropriate to provide relief with respect to the Class as a whole. A class action is the best
8 available method of the efficient adjudication of this litigation because individual litigation of
9 Class members' claims would be impracticable and unduly burdensome to the courts, and have
10 the potential to result in inconsistent or contradictory judgments. There are no unusual
11 difficulties likely to be encountered in the management of this litigation as a class action. A class
12 action presents fewer management problems and provides the benefits of single adjudication,
13 economies of scale, and comprehensive supervision by a single court.

14 36. Cross-Complainants and the Class are entitled to an award of attorney fees and
15 costs against Cross-Defendants pursuant to the provisions of Civil Code section 1780(d), 15
16 U.S.C. section 1692k, and Code of Civil Procedure section 1021.5.

17
18 **VIII.**
19 **CAUSES OF ACTION**
20 **FIRST CAUSE OF ACTION**

21 **(Violations of the Fair Debt Collections Act Against All Cross-Defendants)**

22 37. Cross-Complainants and the Class reallege and incorporate herein by reference
23 paragraphs 1 through 36, inclusive of this complaint, as set forth herein.

24 38. As alleged herein, and as set forth in detail above, Cross-Defendants have sent out
25 form letters demanding payment and falsely asserting the right to payment to Cross-Complainants
26 and the Class. In addition, Cross-Defendants have filed and prosecuted lawsuits in various
27 jurisdictions, falsely claiming the right to payment of the full face amount of second foreclosed
28 promissory notes acquired by Heritage, all in violation of the Fair Debt Collections Act.

1 39. The Fair Debt Collection Practices Act ("FDCPA"), 15 U.S.C. Section 1692,
2 et.seq., prohibits various unfair collection activities. Cross-Defendants have violated various
3 provisions of the FDCPA, including without limitation: Falsely representing the nature, character
4 and amount of the debt, in violation of Section 1692e of the FDCPA; Collecting amounts not
5 permitted by law in violation of Section 1692f of the FDCPA.

6 40. As a result of these violations of the FDCPA, Cross-Defendants are liable to
7 Cross-Complainants and the Class for a declaratory judgment, actual damages, statutory damages,
8 and costs and attorneys' fees.

9
10 **CAUSES OF ACTION**
 SECOND CAUSE OF ACTION

11 **(Violations of the Rosenthal Act Against Heritage and Roes 1 - 50)**

12 41. Plaintiff and the Class reallege and incorporate herein by reference paragraphs 1
13 through 36, inclusive of this complaint, as set forth herein.

14 42. As alleged herein, and as set forth in detail above, Defendants have sent out form
15 letters demanding payment and falsely asserting the right to payment to Plaintiffs and the Class.
16 In addition, Defendants have filed and prosecuted lawsuits in various jurisdictions, falsely
17 claiming the right to payment of the full face amount of second foreclosed promissory notes
18 acquired by Heritage, all in violation of the Rosenthal Act. The Rosenthal Act expressly
19 incorporates, at Civil Code Section 1788.17, the provisions of the The Fair Debt Collection
20 Practices Act ("FDCPA"), 15 U.S.C. Section 1692, et.seq., that prohibits various unfair collection
21 activities. Defendants have violated various provisions of the FDCPA, including without
22 limitation: Falsely representing the nature, character and amount of the debt, in violation of
23 Section 1692e of the FDCPA; Collecting amounts not permitted by law in violation of Section
24 1692f of the FDCPA.

25 43. As a result of these violations of the FDCPA, Defendants are liable to Plaintiffs
26 and the Class for a declaratory judgment, actual damages, statutory damages, and costs and
27 attorneys' fees.
28

THIRD CAUSE OF ACTION
(Unlawful Business Practices – Violation of Cal. Bus. & Prof. Code §17200, et seq. Against all Cross-Defendants)

44. Cross-Complainants and the Class reallege and incorporate herein by reference paragraphs 1 through 36 inclusive, as though the same were fully set forth herein.

45. Cross-Defendant's acts and practices as described herein constitute unlawful, fraudulent, and unfair business practices in violation of Sections 17200, et. seq. of the Business & Professions Code.

46. Cross-Defendants' conduct is: (1) an unlawful in that it violates the applicable provisions of California's anti-deficiency statutes, the Rosenthal Act, the FDCPA and constitutes an abuse of process; (2) fraudulent in that the Cross-Defendants' assertions of the right to collect is likely to deceive the general public into believing that valid debts are at issue when they are not; and, (3) unfair in that any justification or benefit from Cross-Defendants' conduct is outweighed by the gravity of the consequences to Cross-Complainants and the Class.

47. Pursuant to Business and Professions Code §§17200 and 17203, Cross-Complainant, on behalf of themselves and all other similarly situated, seek relief as prayed for below.

VII.

PRAYER FOR RELIEF

WHEREFORE, Cross-Complainants and the Class pray for judgment against Cross-Defendants as follows:

1. For an order that Cross-Defendants be permanently enjoined from the improper conduct and deceptive practices alleged herein, including but not limited to demanding payment for purchase money second deeds of trust below the limits set by the Financial Code;

2. For an award of actual damages in an amount according to proof under all causes of action herein entitling Cross-Complainants and the Class to actual damages;

1 3. For an award of restitution, including, without limitation, disgorgement of all
2 profits and unjust enrichment obtained by Cross-Defendant as a result of its unlawful, unfair, and
3 fraudulent business practices and conduct alleged herein;

4 4. For an order awarding Cross-Complainants and the Class pre-judgment and post-
5 judgment interest, as well as their reasonable attorneys' and expert-witness fees, and other costs,
6 and

7 5. For civil penalties pursuant to 15 U.S.C. section 1692k

8 6. For such additional or further relief as this Court deems just and appropriate.

9 Respectfully Submitted,

10 Dated: September 13, 2010

LAW OFFICE OF WILLIAM E. KENNEDY

11 
12 By: William E. Kennedy

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14 Larry W. Gabriel (SBN 68329)
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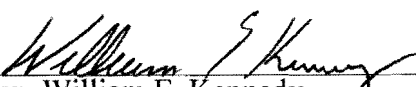
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DEMAND FOR JURY TRIAL

Cross-Complainants demand a trial by jury of all the claims asserted in this Cross-Complaint so triable.

Dated: September 13, 2010

LAW OFFICE OF WILLIAM E. KENNEDY


By: William E. Kennedy

PROOF OF SERVICE

I am employed in the County of Santa Clara, State of California. I am over the age of 18 and am not a party to the within action. My business address is 2797 Park Avenue, Suite 201, Santa Clara, CA 95050.

FILED
2010 SEP 13 P 2:21

On the date shown below, I served the foregoing document(s) described as: David H. Yamashita, Clerk of the Superior Court
County of Santa Clara, California
By: _____ Deputy Clerk

CLASS ACTION CROSS COMPLAINT FOR:

- (1) Violations of the Fair Debt Collection Practices Act [15 U.S.C. Section 1692, et seq.]**
- (2) Rosenthal Fair Debt Collection Practices Act [Civil Code Section 1788, et seq.];**
- (3) Violations of California's Unfair Competition Law [Cal.Bus. & Prof. Code §17200, et seq.]**

DEMAND FOR JURY TRIAL

on the following parties in the manner indicated below:

Counsel for Heritage Pacific Financial LLC dba Heritage Pacific Financial, a Texas limited liability company

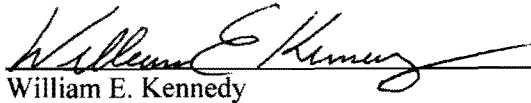
Brad A. Mokri
Law Offices of Mokri & Associates
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Santa Ana, California 92705

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I declare under penalty of perjury under the laws of the State of California that the above is true and correct. Executed on September 13, 2010 at Santa Clara, California.


William E. Kennedy

PROOF OF SERVICE